Eco401 MCQs (Lecture 1 - 12) Solved by Mehreen Humayun

ECO401
Solved MCQs Contained (chapters 1-18)
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http://groups.google.com/group/vuZs (http://groups.google.com/group/vuZs)

The demand curve facing a perfectly competitive firm is:

Upward sloping.
Downward sloping.
Horizontal.
Vertical.

For a perfectly competitive firm with no market control, the Demand curve is a horizontal line. Because a perfectly competitive firm is a price taker and faces a horizontal demand curve, its marginal revenue curve is also horizontal and coincides with its average revenue (and demand) curve.

The marginal rate of substitution is equal to the:

Magnitude of the slope of the indifference curve
Relative price
Marginal cost of each good
Slope of the budget line

MARGINAL RATE OF SUBSTITUTION shows the average slope of the indifference curve between any two points is given by the change in the quantity of good Y divided by change in the quantity of good X.

Which of the following defines the opportunity cost?

It is measured only in rupees.
It is the cost to society of producing the goods.
It is the difficulty associated with using one good in place of another.
It is the cost of next best alternative forgone.

Opportunity cost is the next-best choice available to someone who has picked between several mutually exclusive (http://en.wikipedia.org/wiki/Mutually_exclusive) choices.

The substitution effect of a price decrease for a good with a normal indifference curve pattern:

Is always inversely related to the price change.
Measures the change in consumption of the good that is due to the consumer's feeling of being richer.
Is measured by the horizontal distance between the original and the new indifference curves.
Is sufficient information to plot an ordinary demand curve for the commodity being considered.

In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:

Decreasing returns to scale.
Constant returns to scale.
Increasing returns to scale.
Negative returns to scale.

Returns to scale refers to a technical property of production that examines changes in output subsequent to a proportional change in all inputs (where all inputs increase by a constant).

Price floor results in:

Equilibrium.
Excess demand.
Excess supply.
All of the given options.

A person with a diminishing marginal utility of income:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

The degree of risk aversion increases as your income level falls, due to diminishing marginal utility of income.

Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:

The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements.

Handouts Lecture 08

The demand curve facing a perfectly competitive firm is:

The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.
Not the same as either its marginal revenue curve or its average revenue curve.

The demand (or AR) curve for the industry is downward sloping but for any individual perfectly competitive firm, is horizontal. Thus, the firm can sell as much at the given market price. For this reason, the AR and MR curves align under perfect competition.

Average physical product is equal to:
Select correct option:

TPPF
TPPF/QF
QF / TPPF
TPPF * QF
Handouts Lecture 13

In the long run, profits will equal zero in a competitive market because of:

The availability of information.
Identical products being produced by all firms.
Constant returns to scale.
Free entry and exit

Which of the following is true about the total cost curve?

It relates output with total cost.
It is usually upward sloping.
Gets steeper as output rises, due to diminishing marginal product of an input.
All of the given options are true

http://www.amosweb.com/cgi-bin/awb_nav.pl?s=wpd&c=dsp&k=total+cost+curve

The shape of production possibilities curve is:

Concave.
Convex.
Linear.
Positive.

The PPF is bowed outwards (concave to the origin) as tradeoffs between the production of any two goods are constant.

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Which best expresses the law of demand?

A higher price reduces demand.
A lower price reduces demand.
A higher price reduces quantity demanded.
A lower price shifts the demand curve to the right.

Law of demand:
The law of demand states that if the price of a certain commodity rises, its quantity demanded will go down, and vice-versa.

"Each firm produces an identical product and there is freedom of entry and exit". This is TRUE for which of the following market structures?
Select correct option:

For Monopoly.
For Oligopoly.
For Perfect competition.
For Monopolistic competition.

OLIGOPOLY is similar to monopoly in the sense that there are a small number of firms (about 2-20) in the market and, as such, barriers to entry exist.

Production possibilities analysis assumes that:

Resources and technology increase with production.
Resources are used to produce thousands of goods. Not sure
Extra resources are saved for emergency use.
Resources are used in a technically efficient way.

Production possibilities is analysis of the alternative combinations of two (or more) goods that an economy can produce with existing resources and technology in a given time period.

Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

Increase hours of work
Decrease hours of work
Not change hours of work
None of the given options

A negatively sloped isoquant implies:

Products with negative marginal utilities.
Products with positive marginal utilities.
Inputs with negative marginal products.
Inputs with positive marginal products

The principle economic difference between a competitive and a non-competitive market is:

The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market.

In economics, the “long run” is a time period in which:

All inputs are variable.
All inputs are paid for.
All outputs are determined.
All loans are repaid.

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Long run is a period over which all factors can be changed and full adjustment to shocks can take place.

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

Supply Scedule.
Demand Scedule.
Quantity supplied Scedule.
Quantity demanded Scedule.

Demand schedule:
A demand schedule is a table (sometimes also referred to as a graph) which shows various combinations of quantity demanded and price.

If marginal product is below average product:

The total product will fall
The average product will fall
Average variable costs will fall
Total revenue will fall

A mathematical connection between average product and marginal product states that the change in the average product depends on a comparison between the average product and marginal product. If marginal product is less than average product, then average product declines.

When the price of petrol rises by 8%, the quantity of petrol purchased falls by 6%. This shows that the demand for petrol is:

Perfectly elastic.
Unit elastic.
Price elastic.
Price inelastic.
solution
Ped= % change in Q demand / % change in Q Price
= 6%/8%= 0.75
Where e>1 elastic
e<1 inelastic
When the price elasticity of demand for a good is greater than 1, we say that the demand is:

Increasing.
Decreasing.
Elastic.
Inelastic
Handouts lecture 06

The law of diminishing marginal utility states:

The supply curve slopes upward.
Your utility grows at a slower and slower rate as you consume more and more units of a good.
The elasticity of demand is infinite.
None of the given options.

The law of diminishing marginal utility states that as you consume more and more of a particular good, the satisfaction or utility that you derive from each additional unit falls.

Suppose price rises from Rs. 15 to Rs. 17 and quantity demanded decreases by 20%. We can conclude:

Demand is inelastic.
The elasticity of demand is 2.
Total revenue will decrease.
Demand is unit elastic.

Ped= % change in Q demand / % change in Q Price
= 20%/13%= 1.53

Indifference curve is:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

In microeconomic theory (http://en.wikipedia.org/wiki/Microeconomic_theory), an indifference curve is a graph (http://en.wikipedia.org/wiki/Graph_of_a_function) showing different bundles of goods (http://en.wikipedia.org/wiki/Good_%28economics%29), each measured as to quantity, between which a consumer is indifferent. That is, at each point on the curve, the consumer has no preference (http://en.wikipedia.org/wiki/Preference) for one bundle over another. In other words, they are all equally preferred.

The burden of a tax is shifted toward buyers if:

Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities

When the price elasticity of demand for a good is greater than 1, we say that the demand is:

Increasing.
Decreasing.
Elastic.
Inelastic.

If firms in a competitive industry are experiencing losses in the short run, then:

The firms will try to raise prices.
Some firms will choose to shut down.
The industry will cease to exist.
New firms will enter the industry.
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If firms are making losses in the short run, they will leave the industry in the long run causing supply to fall, prices to rise and normal profitability to be restored. In the long run, therefore, perfectly competitive firms can only earn normal profits.

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A price taker is:

A firm that accepts different prices from different customers.
A monopolistically competitive firm.
A firm that cannot influence the market price.
An oligopolistic firm.
Handouts lecture 17

Moving from left to right, the typical production possibilities curve:

Is horizontal.

Has a constant positive slope.
Illustrates increasing opportunity costs.
Illustrates decreasing opportunity costs

At any given point on an indifference curve, the slope is equal to:

Unity.
The marginal rate of substitution.
The consumer's marginal utility.
None of the given options.

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A market is said to be in equilibrium when:

Supply equals Price.
There is downward pressure on price.
The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
All buyers are able to find sellers willing to sell to them at the current price.

We know that the demand for a product is elastic if:

When price rises, revenue rises.
When price rises, revenue falls.
When price rises, quantity demanded rises.
When price falls, quantity demanded rises.

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Elastic demand means when price of any product increases, its demand also increases more than the increase in price. As price increases total revenue decreases in case of elastic demand.

Revenue is equal to:

Price times quantity.
Price times quantity minus total cost.
Price times quantity minus average cost.
Price times quantity minus marginal cost.

If two goods were perfect complements, their indifference curves would be:

Straight lines
L-shaped
Rectangular hyperbolas
Parabolic

Which of the following statements describes increasing returns to scale:

Doubling the inputs used leads to double the output.
Increasing the inputs by 50% leads to a 25% increase in output.
Increasing inputs by 1/4 leads to an increase in output of 1/3.
None of the given options.

Curves that are convex to the origin reflect:

An increasing marginal rate of substitution.
A decreasing marginal rate of substitution.
A constant marginal rate of substitution.
A marginal rate of substitution that first decreases then increases.

The curves are convex to the origin, describing the negative substitution effect (http://en.wikipedia.org/wiki/Substitution_effect). As price rises for a fixed money income, the consumer seeks less the expensive substitute at a lower indifference curve.

An indifference curve is:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

The numerical measurement of a consumer's preference is called:

Satisfaction.
Use.
Pleasure.
Utility.

The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?

200.
5Q
5.
5 + (200/Q).
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TC = FC + VC

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Select correct option:

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The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.
Not the same as either its marginal revenue curve or its average revenue curve

Insurance companies operate under the principle of:

Law of large numbers.
Law of small numbers.
Law of zero numbers.
All of the given options
Handouts lecture 16
Insurance companies operate under the principle of law of large numbers.

The opportunity cost of an action:

Will be the same for everyone.
Is the value of the next best alternative.
Measures the undesirable aspects of that action.
Is the average amount of unhappiness experienced by everyone involved.

Which of the following is TRUE about the production function?

It relates inputs with output.
It generates a curve that is upward sloping.
It shows diminishing marginal product of an input, since it gets flatter as output rises.
All of the given options are true